

INTRODUCTION

Without any further adieu, we will jump on to – What is Technical Analysis?

The entire field of decision-making in capital markets – equity, debt, currency etc. can be categorized under two broad methods, based on which all decisions of buying and selling are made. The two methods are-

FUNDAMENTAL ANALYSIS

The fundamental analysis mainly refers to the investment decision-making process where analysts first understand the industry and business fundamentals of an investment. Then, they proceed on to take an investment decision based on these factors. Here the analyst is expected to understand topics such as competition, valuation, industry characteristics, financial ratios and so on. They must also conclude if they intend to buy or sell the asset.

TECHNICAL ANALYSIS

Technical analysis is starkly different from fundamental analysis. Here, the analyst focuses on price and volume and the movement of the asset prices in the past. Then, conducts statistical operations on them. Taking them into account, they predict the direction of the price based on which they decide to buy or sell the asset. The analyst does not focus on the quality of the underlying asset and wants to profit from prices movement/fluctuations.